
HERITAGE COMPANIES



HERITAGE
INSURANCE



NARRAGANSETT BAY
INSURANCE



ZEPHYR
INSURANCE

Investor Presentation

THIRD QUARTER 2025
NOVEMBER 2025

Heritage Insurance Holdings, Inc.
NYSE: HRTG
www.heritagepci.com



SAFE HARBOR

Statements in this presentation that are not historical facts are forward-looking statements that are subject to certain risks and uncertainties that could cause actual events and results to differ materially from those discussed herein. Without limiting the generality of the foregoing, words such as “may,” “will,” “expect,” “believe,” “anticipate,” “intend,” “could,” “would,” “estimate,” “or “continue” or the other negative variations thereof or comparable terminology are intended to identify forward-looking statements. This release includes forward-looking statements relating to the expected positive impact of our strategic initiatives on our future financial results, including focus on profitability through rating action, selective underwriting and selective growth, capital allocation, exposure management and strategic reduction of policy count in certain geographies; impact of rate increases; impact of policy count reduction; impact of our focus on long-term relationships with reinsurers; expected future policy rate increases; impact of legislative changes; and future dividend payments and stock repurchases. The risks and uncertainties that could cause our actual results to differ from those expressed or implied herein include, without limitation: the success of the Company’s underwriting and profitability initiatives; inflation and other changes in economic conditions (including changes in interest rates and financial and real estate markets), including changes that may impact demand for our products and our operations; lack of effectiveness of exclusions and loss limitation methods in the insurance policies we assume or write; inherent uncertainty of our models and our reliance on such models as a tool to evaluate risk; the impact of macroeconomic and geopolitical conditions, including the impact of supply chain constraints, inflationary pressures, labor availability and conflicts between Russia and Ukraine and in the Middle East; the impact of new federal and state regulations that affect the property and casualty insurance market and our failure to meet increased regulatory requirements, including minimum capital and surplus requirements; continued and increased impact of abusive and unwarranted claims; the cost of reinsurance, the collectability of reinsurance and our ability to obtain reinsurance coverage on terms and at a cost acceptable to us; assessments charged by various governmental agencies; pricing competition and other initiatives by competitors; our ability to obtain regulatory approval for requested rate changes, and the timing thereof; legislative and regulatory developments; the outcome of litigation pending against us, including the terms of any settlements; risks related to the nature of our business; dependence on investment income and the composition of our investment portfolio; the adequacy of our liability for losses and loss adjustment expense; our ability to build and maintain relationships with insurance agents; claims experience; ratings by industry services; catastrophe losses; reliance on key personnel; weather conditions (including the severity and frequency of storms, hurricanes, tornadoes and hail); changes in loss trends; acts of war and terrorist activities; court decisions and trends in litigation; and other matters described from time to time by us in our filings with the Securities and Exchange Commission, including, but not limited to, the Company’s Annual Report on Form 10-K for the year ended December 31, 2024 filed with the Securities and Exchange Commission on March 13, 2025, and subsequent filings.

The Company undertakes no obligations to update, change or revise any forward-looking statement, whether as a result of new information, additional or subsequent developments or otherwise.

HERITAGE OVERVIEW



Super-regional U.S. property and casualty insurance holding company



\$1.44 billion of premiums in force, personal residential insurance (PRES), as well as commercial residential insurance (CRES).

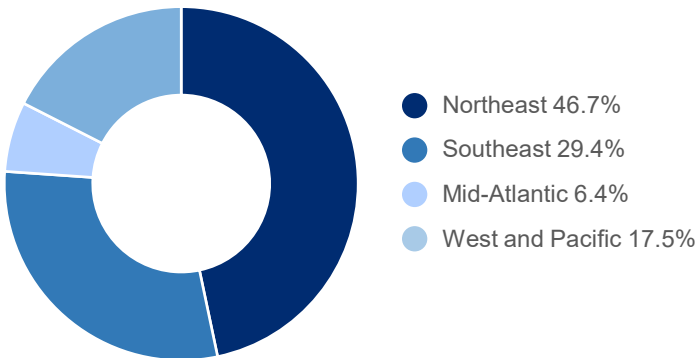


Geographically diversified portfolio



Vertically integrated structure with in-house underwriting, actuarial, customer service, claims processing and adjusting functions (3rd parties used as needed)

Total Insured Value at 9/30/2025



Financial Strength Ratings	HPCIC	NBIC	ZIC
Demotech	A	A	A
Kroll	BBB+	BBB+	BBB

Kroll Investment Grade: BBB- for Heritage Insurance Holdings Inc., the holding company



NYSE: HRTG



Market Cap: ~\$913mm
Total Assets: \$2.3bn
Total Equity: \$437.2mm



Premiums In-Force: \$1.44B



Book Value/Share: \$14.15
Total Employees: 549
Founded/IPO: 2012/2014



Headquarters: Tampa, FL

INVESTMENT HIGHLIGHTS



Experienced
Management Team



Returning to a Controlled
Growth Strategy



Vertically Integrated
Structure



A Robust Reinsurance
Program to Protect Capital



Geographic Diversification
U.S. Super-Regional P&C Insurer



Technology Augmented
Insurance Operations



Strategic Profitability
Initiatives





EXPERIENCED MANAGEMENT TEAM



Ernie Garateix
Chief Executive Officer

- CEO since 2020
- Previously COO since 2014 and EVP since company's 2012 founding
- Prior to Heritage, Mr. Garateix served as Vice President of Operations at American Integrity Insurance Group and Associate Vice President of IT at FCCI Insurance Group



Kirk Lusk
Chief Financial Officer

- CFO since 2018
- Joined Heritage in 2017 via the acquisition of NBIC, where he served as CFO
- Prior to Heritage, was International CFO of Aetna International, CFO of Alea Group Holdings Bermuda Ltd. and CFO of GE ERC Global Casualty and GE Capital Auto Warranty Services



Tim Moura
President, NBIC

- NBIC President since 2017
- Previously SVP of Marketing, Agency, and Client Services since 2014
- Prior to NBIC, served as VP of Business Development and Commercial Lines for Tower Group Companies, and VP, Underwriting and Product Management, Personal Lines at OneBeacon Insurance Group



Tim Johns
President, Zephyr

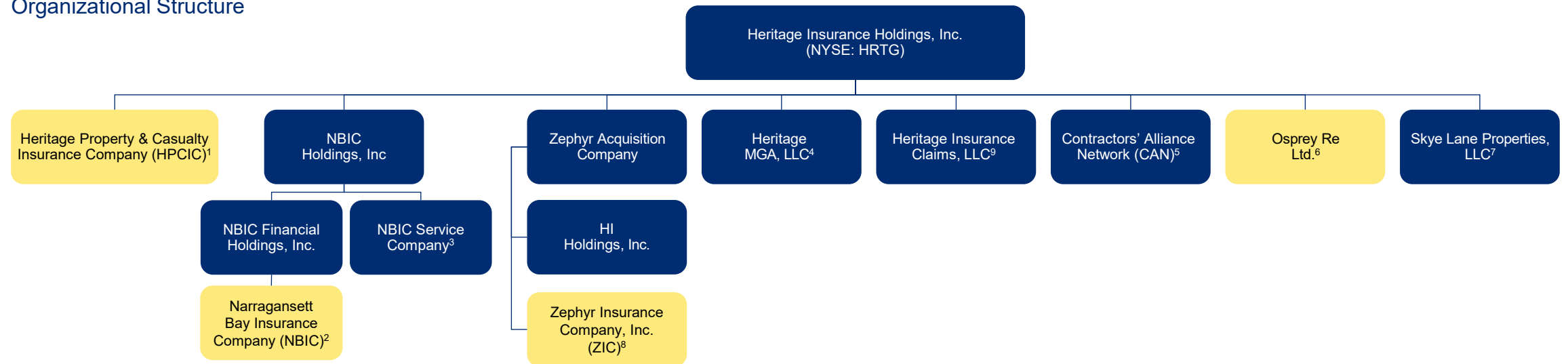
- Zephyr President since 2018
- Prior to Zephyr, was Chief Consumer Officer at the Hawaii Medical Service Association, the largest health insurer in Hawaii, as well as multiple executive leadership roles within private, public and non-profit enterprises in Hawaii



VERTICALLY INTEGRATED STRUCTURE

- Vertically integrated structure includes a preferred provider network, minimizing third-party reliance, reducing costs, and providing a strategic hedge during catastrophe years
- Vertically integrated structure reduces our earnings volatility, supporting P/E-based valuation for HRTG
- Managing general agent structure allows efficient capital allocation and capital utilization (e.g., debt servicing, M&A, etc.)

Organizational Structure



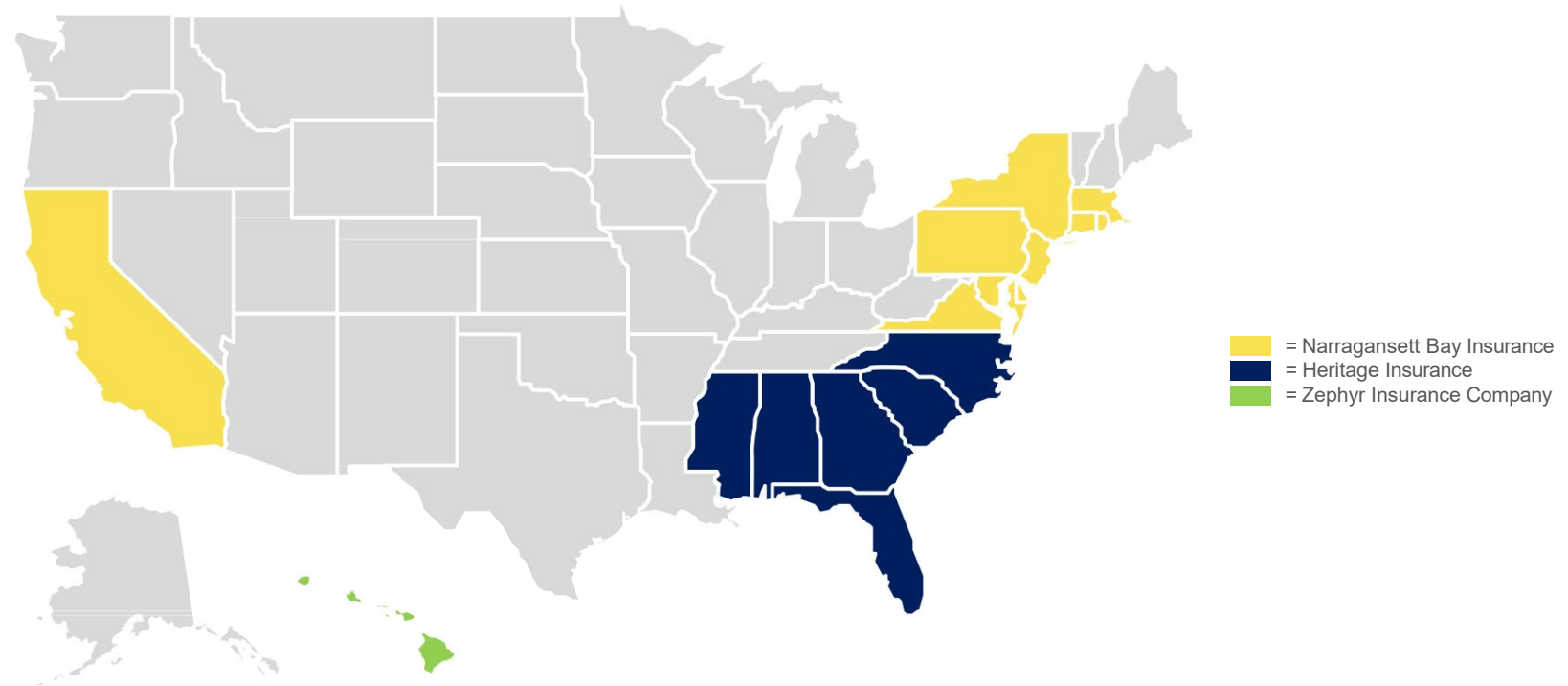
 = Risk Bearing Entity

1. Risk bearing entity (AL, CA, GA, FL, MS, NC, SC); 2. Risk bearing entity (CA, CT, DE, MA, MD, NY, NJ, RI, VA); 3. Provides NBIC with underwriting, personnel and other services; 4. Provides HPCIC and ZIC with underwriting, personnel and other services; 5. Mitigation and construction division; 6. Captive reinsurer; 7. Affiliate that holds real estate; 8. Risk bearing entity (HI); 9. Inactive entity



GEOGRAPHIC DIVERSIFICATION AND INTELLIGENT GROWTH

- Strategically diversified portfolio to achieve better risk distribution, claims trends, and lower reinsurance costs
- As of Q3 2025, 71.1% of total insured value (TIV) is positioned outside of Florida. Moreover, 70.6% is outside the Southeast region, showcasing Heritage's unique diversification with exposures spanning the Northeast, Mid-Atlantic, West, and Pacific regions





STRATEGIC PROFITABILITY INITIATIVES

Generate Underwriting Profit

- Focus on rate adequacy and selective underwriting
- Profit-oriented underwriting criteria while restricting new business in over-concentrated markets or products
- Inflation guard to ensure appropriate insurance to value

Optimize Capital Allocation

- Disciplined underwriting, diversification, and rate adequacy are key to improving portfolio profitability
- Selective underwriting and rate actions have resulted in a decline in policy count for admitted personal lines while achieving higher average premiums per policy
- Allocation of capital to most profitable segments, for example CRES in 2023 and 2024
- A robust reinsurance program provides balance sheet protection particularly given coastal exposure to hurricanes and other severe weather events

Manage Portfolio Diversity

- Diversification efforts have been fruitful with managed TIV growth and no single state accounting for more than 29% of total insured value
- Complementing admitted business with Excess & Surplus lines (“E&S”) across several states to exercise rate and filing flexibility
- Florida exhibited a 10% TIV increase as compared to the third quarter of 2024

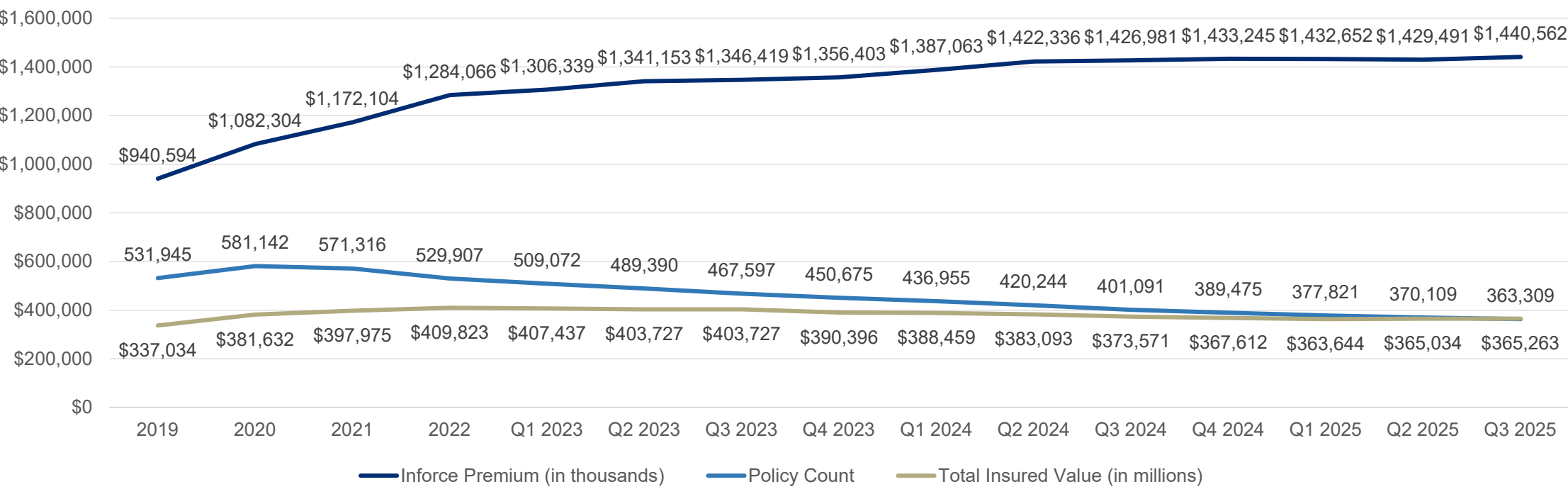


Achieve consistent, long-term quarterly earnings and drive shareholder value



HERITAGE EVOLUTION

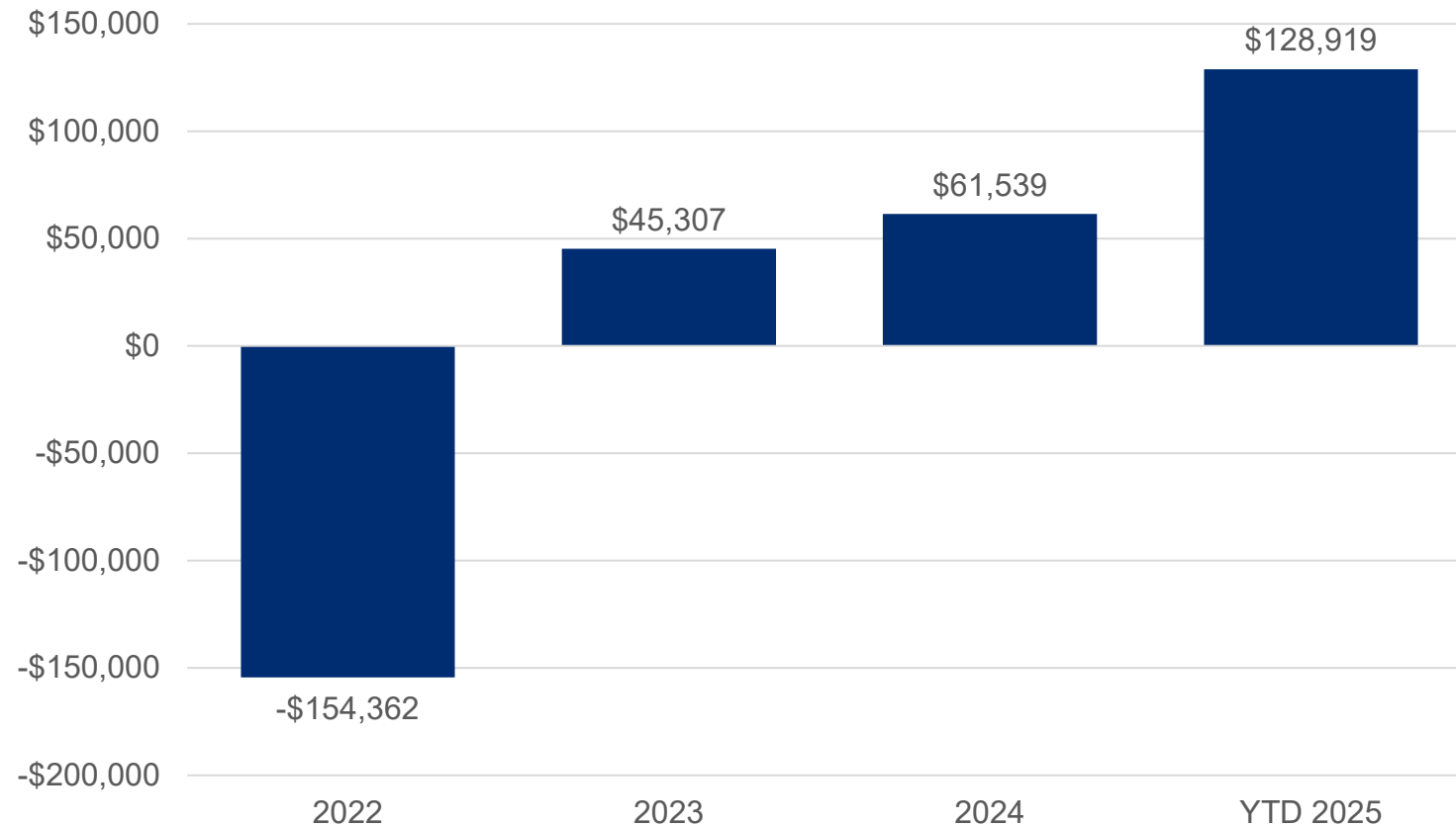
- 2014 -2020: Top-line Focus
- **2021- 2024: Bottom-line Focus**
- 2025: Managed Growth with continued focus on bottom-line
- Initiate profitability initiatives
- Increased analytics
- Re-underwrite the entire portfolio
- Opportunistic growth (Commercial, CA)
- Positions company for managed growth





FULL YEAR NET INCOME TRAJECTORY

4-Year Trajectory (in thousands)



- 2022 includes pre-tax \$94 million of goodwill write off and \$40 million of retained losses from Hurricane Ian
- 2023 includes pre-tax \$40 million of retained losses from Hurricane Idilia and the Maui wildfires
- 2024 includes pre-tax \$105 million of retained losses and reinstatement premiums from Hurricanes Debby, Helene and Milton



INITIATING A CONTROLLED GROWTH STRATEGY

- As part of our strategic profitability initiatives, we largely ceased underwriting new personal lines in the Northeast and Florida in December 2022, given a tightening reinsurance market combined with an adverse risk-adjusted return profile
- While we ceased writing new personal lines business in most of our territories while increasing commercial lines business and kept our infrastructure, sales and customer support largely in-tact
- Over the last two years, we have seen a marked improvement in these markets driven by:
 - Our rate adequacy and underwriting initiatives
 - A stabilization of reinsurance pricing
 - Legislative changes in Florida
- Disruption in many of our markets is opening up market share to Heritage
- This has created an inflection point for the Company and we are now pivoting to a controlled growth strategy where we have started writing new personal lines business
- Returning to growth, we will leverage existing infrastructure while maintaining our focus on risk management and stringent underwriting



CAT XOL REINSURANCE PROGRAM

Fully placed 2025-2026 catastrophe excess-of-loss reinsurance program for statutory insurance subsidiaries in May 2025

Program Overview

- 2025 CAT XOL limit placed for each region in the amount of:
 - \$1.1B in the Northeast ○ \$1.6B in the Southeast ○ \$865M in Hawaii
- No co-participations in the syndicated program
- Program and costs this year include limit from catastrophe bonds issued by Heritage special purpose vehicle, Citrus Re Ltd.
 - Limit of \$200M for the Southeast only
 - Limit of \$100M for Hawaii only
 - Limit of \$115M shared by the Northeast and Hawaii
 - Limit of \$120M for the Northeast only
 - The total limit for the '25-'26 season from Cat bonds is \$535M
- First event loss retention in each the Southeast/Mid-Atlantic and Hawaii of \$50M, and \$39.3M in the Northeast
 - Individual Insurance company's retention will be less given the use of captive Osprey Re
- Entire program is indemnity based
- Florida Hurricane Catastrophe Fund participation of 90%:
 - Consistent with the prior year program





Top10 Reinsurers

D.E. Shaw Re (Bermuda) Ltd., Bermuda
(Collateralized)

Fidelis Insurance Bermuda Ltd
(AM Best A, S&P A-)

Swiss Reinsurance America Corporation
(AM Best A+, S&P AA-)

Munich Reinsurance America, Inc.
(AM Best A+, S&P AA-)

Hannover Rueck SE
(obo Pillar Capital Management)
(AM Best A+, S&P AA-)

Arch Reinsurance Limited
(AM Best A+, S&P A+)

Transatlantic Reinsurance Company
(AM Best A++, S&P AA+)

Ariel Re Bda Limited/Lloyd's Syndicate 1910
(AM Best A, S&P AA-)

Group Ark Insurance Limited
(AM Best A)

Odyssey Reinsurance Company
(AM Best A+, S&P A+)

REINSURANCE PLACEMENTS

Model change requires additional property cat limit expected to be **\$300M–\$400M** with flat exposure projections.

Noteworthy Reinsurance Placements for 2025

Renewal Date	Program
12/01/2024	NBIC Ex-Named Storms Agg XOL
12/31/2024	NBIC Net QS
01/01/2025	NBIC Personal Umbrella Fac QS
01/31/2025	NBIC All Perils Flood HO QS
06/01/2025	HRTG Holdings Corp Cat XOL
	HRTG Holdings Cat Bond
	FHCF
	Heritage P&C Fac XOL
06/15/2025	Heritage P&C Ex-Named Storms Property Per Risk XOL
07/01/2025	NBIC per Risk XOL
	NBIC Facultative XOL



TECHNOLOGY OVERVIEW

Heritage focuses on being a data-driven company with solid traditional insurance operations that are augmented with technology

Data Warehouse: A Robust, Mature and Rich Enterprise Analytics Platform

Policy Admin, Claims, Billing





INVESTMENT HIGHLIGHTS

- Heritage is a super-regional U.S. P&C insurance holding company positioned for long-term growth and profitability.
- Our strategic profitability initiatives are delivering positive results as we remained profitable through a challenging Cat season which was an important goal of our plan
- We have also achieved rate adequacy in many of our geographic regions which is allowing our team to pivot to a controlled growth strategy
- We have started to write new policies and expect to see our In-force policy count stabilize and return to growth in 2025 and 2026
- This combined with the rate increases that are earning through our portfolio provides visibility to growth into the year ahead
- Importantly, we will remain disciplined with a strategic focus that prioritizes long-term profitability and shareholder value

FINANCIAL HIGHLIGHTS

IN-FORCE METRICS

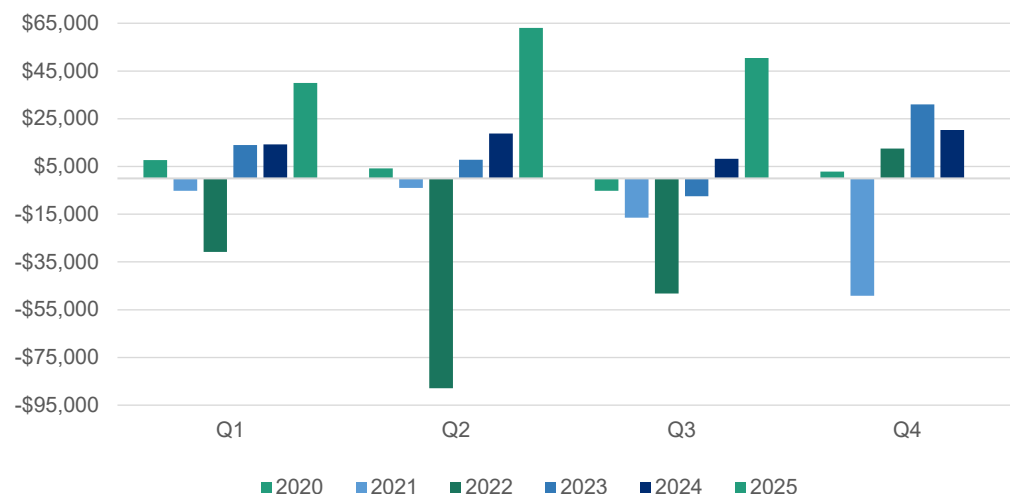
Total Premiums-in-force: In Q3 2025, premiums-in-force was \$1.44 billion, reflecting a 1% increase from Q3 2024's \$1.42 billion. This growth was achieved with a 9.4% reduction in policy count, indicative of a shift towards a selective underwriting approach.

Commercial Residential Segment: Year-over-year, CRES premiums-in-force decreased by 6.9%, driven largely by competitive market conditions. Expect growth to moderate given increased competition as we ensure rate adequacy.

TIV Overview: TIV for the company decreased by 2.2% from the 3rd quarter of 2024 .

Policy Count: A 9.4% decrease in total policies in-force compared to Q3 2024 underscores Heritage's strategy of consistent underwriting and risk management practices.

Net Income (\$ in MM's)



TIV = total insured value • PIF = policies in-force

In-Force Metrics

	YE2020	YE2021	YE2022	YE2023	YE2024	2Q2025
Premiums In-Force (Millions)						
Pres	\$969	\$1,052	\$1,118	\$1,092	\$1,137	\$1,155
Cres	\$104	\$110	\$155	\$253	\$286	\$277
CGL	\$9	\$11	\$11	\$11	\$10	9
Total	\$1,082	\$1,172	\$1,283	\$1,356	\$1,433	\$1,441
Policies In-Force						
Pres	568,069	556,507	514,924	436,656	376,002	350,844
Cres	3,074	2,745	2,756	2,838	2,891	3,053
CGL	9,904	12,064	12,227	11,181	10,582	9,412
Total	581,047	571,316	529,907	450,675	389,475	363,309
Total Insured Value (Millions)						
Pres	\$353,780	\$371,734	\$377,799	\$351,733	\$325,582	\$318,439
Cres	\$27,851	\$26,241	\$32,023	\$38,663	\$42,030	\$46,824
Total	\$381,632	\$397,975	\$409,823	\$390,396	\$367,612	\$365,264

Achieved Goal of Being Profitable through Cat Season

In 3Q22, with Hurricane Ian, we incurred a full **\$40 million retention loss** and reported a **net loss in the quarter of \$48 million**.

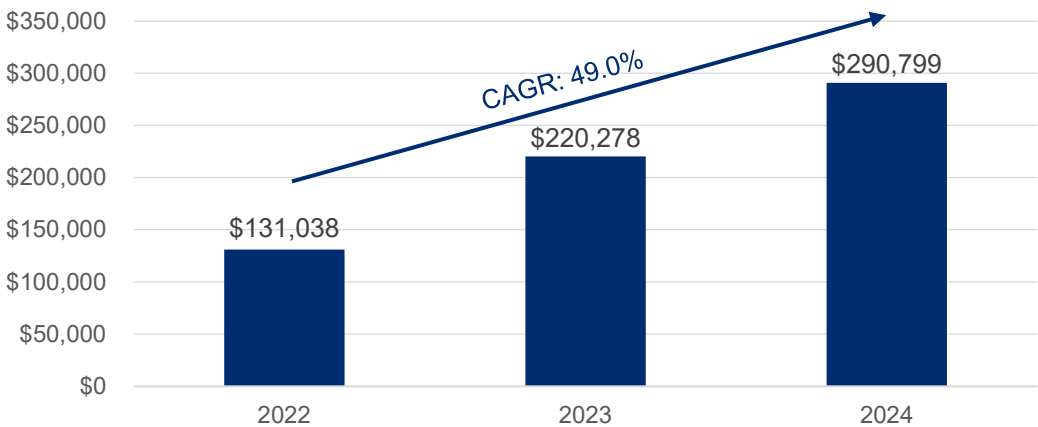
In 3Q23, with the Maui fires and Hurricane Idalia, we also had **\$40 million of Cat losses** and reported a **\$7 million net loss** in the quarter.

In 3Q24, we sustained **\$48 million of Cat losses** in the quarter with Hurricanes Debbie and Helene and reported **net income of \$8 million**.

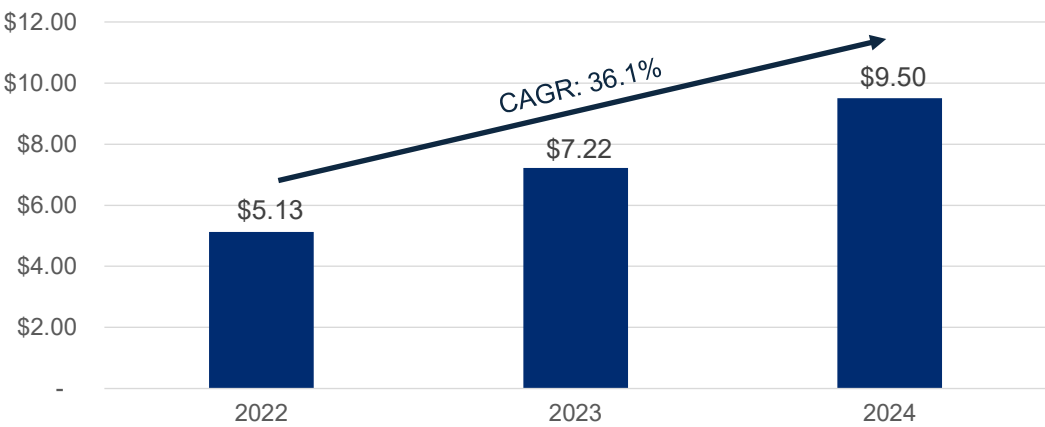
In 1Q25, we sustained **\$32 million of Cat losses** from the California wildfires and reported **net income of \$31 million**.

FINANCIAL TRAJECTORY

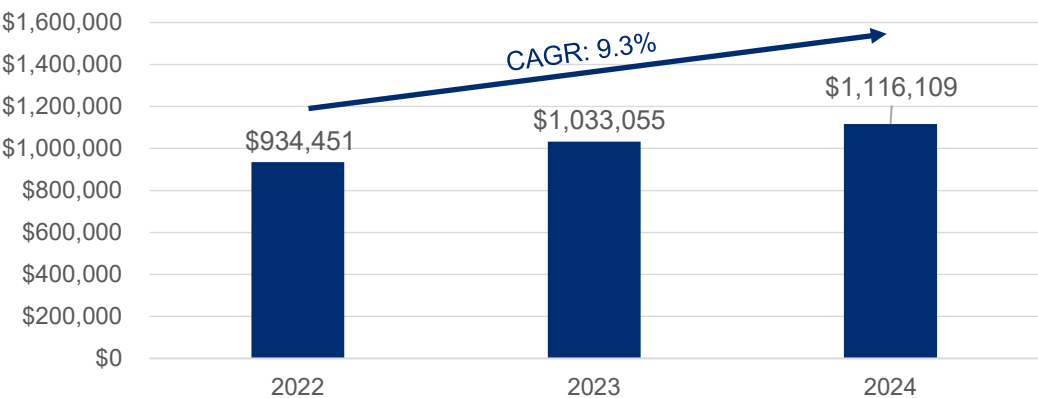
Shareholders Equity (in 000s)



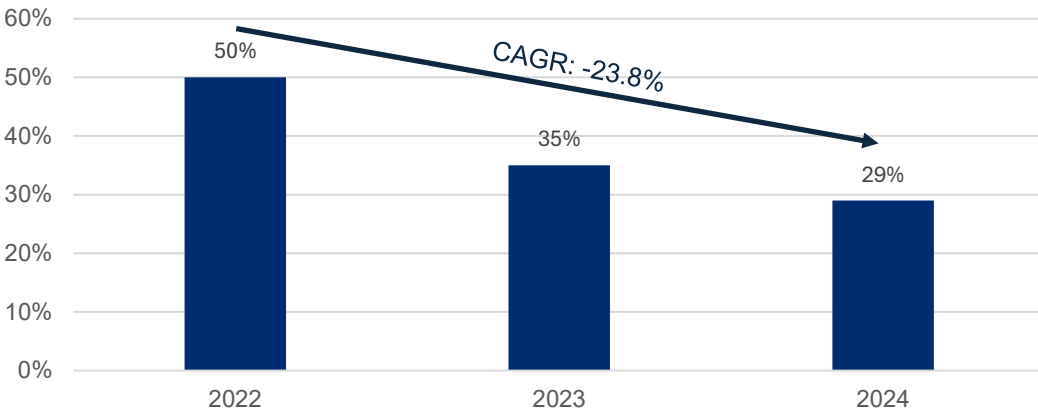
Book Value Per Share



Cash and Invested Assets (in 000s)



Debt to Capital Ratio



Q3 2025 OPERATING PERFORMANCE SUMMARY

YoY Financial Results: Earnings before taxes of \$68.3 million, an increase of \$59.3 million from the previous year. This increase was primarily driven by lower losses and loss adjustment expenses.

Dynamic Premium Growth: Premiums-in-force on September 30th increased by 1% from the prior year to \$1.44 billion, driven by proactive rate hikes and growth in E&S business. A policy count reduction of about 37,780 from the previous year while in-force premium increased by about \$13.6 million.

Steady Premiums Written: Gross premiums written were \$333.1 million, a 6.4% increase from the prior year's \$312.9 million.

Healthy Gross Premiums Earned: Gross premiums earned increased by 2.2% to \$361.9 million from the previous year.

Profitability: Net loss ratio decreased by (27.1) points to 38.3% from the prior year, reflecting significantly lower net losses and LAE.

Enhanced Overall Performance: Net combined ratio decreased (27.7) points to 72.9%, due to a lower net loss ratio and lower net expense ratio.

In thousands, except per share amounts	3Q25	Change	3Q24
Policies in force (PIF) count at period end	363.3	(9.4%)	401.1
Premiums in force at period end	\$1,440.5	1.0%	\$1,426.9
Total insured value, property, at period end	\$365,263,822	(2.2%)	\$373,571,415
Gross premiums written	\$333,160	6.4%	\$312,986
Gross premiums earned	\$361,961	2.2%	\$354,197
Net premiums earned	\$195,132	(1.9%)	\$198,841
Net income	\$50,421	518.5%	\$8,152
EPS	\$1.63	503.7%	\$0.27
Net combined ratio	72.9%	(27.7 pts)	100.6%
Net loss ratio	38.3%	(27.1 pts)	65.4%
Net expense ratio	34.6%	(0.6 pts)	35.2%

CAPITAL MANAGEMENT & OPERATING LEVERAGE



Ongoing evaluation of dividend distribution and stock repurchases on a quarterly basis



Responsible steward of shareholder capital

- New Share Repurchase Plan authorized \$10.0M, through December 31, 2025



The Company repurchased 106,135 shares of common stock during the quarter at a cost of \$2,282,356.



Well capitalized to fund organic growth

- \$352.2M in combined statutory surplus at Q3 2025

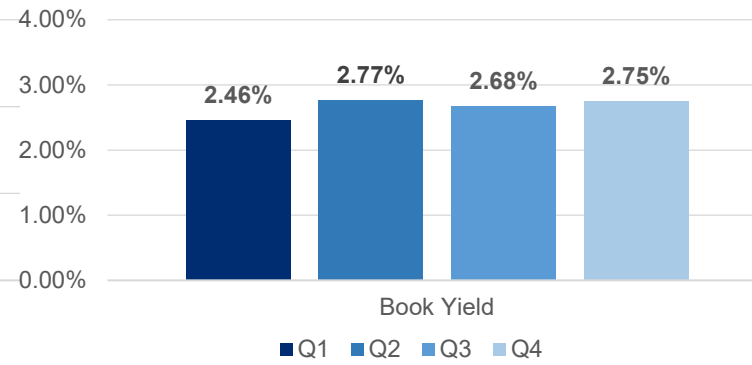
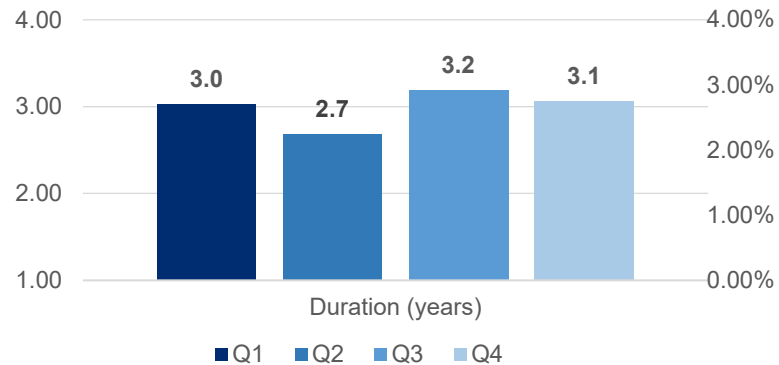


CONSERVATIVE INVESTMENT PORTFOLIO

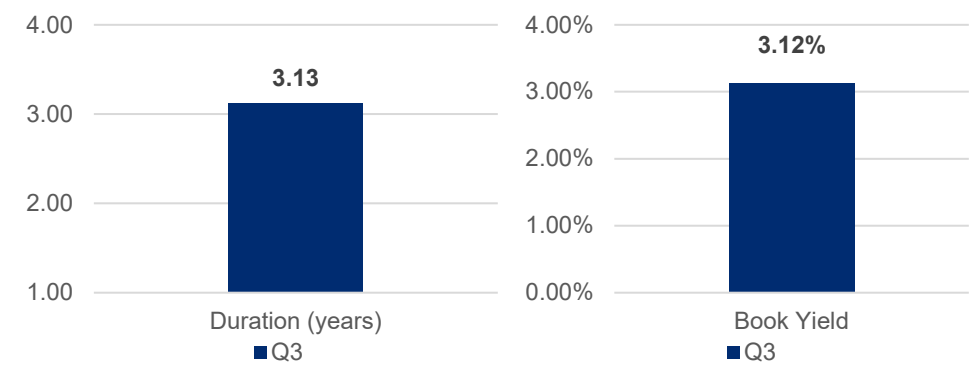
In Q3 2025, Heritage delivered investment income of \$9.7M, in-line with the prior-year quarter. The investment portfolio is comprised of short duration, high credit quality, fixed income securities with an average credit rating of A+.

NAIC General Category (\$ in MMS)	Sum of Book Value	Sum of Unrealized Gains	Sum of Unrealized Losses	Sum of Market Value	% of Invest Portfolio	Notes
U.S. government and agency securities ⁽¹⁾	\$ 87.1	\$ 1.0	\$ (0.3)	\$ 87.8	13%	Gov't
States, municipalities and political subdivisions	\$ 356.7	\$ 2.1	\$ (16.0)	\$ 342.8	49%	State, Political
Corporate bonds	\$ 222.6	\$ 3.3	\$ (4.8)	\$ 221.1	32%	Spec Rev
Mortgage-backed securities ⁽¹⁾	\$ 44.1	\$ 0.1	\$ (2.0)	\$ 42.2	6%	Spec Rev
Asset-backed securities	\$ 1.4	\$ —	\$ (0.0)	\$ 1.4	0%	Spec Rev
Other	\$ 5.6	\$ —	\$ (0.0)	\$ 5.6	1%	Misc
Total	\$ 717.5	\$ 6.5	\$ (23.2)	\$ 700.8	100%	

FY 2024 Portfolio Overview*



2025 Portfolio Overview*



(1) Includes securities as of September 30, 2025, with a carrying amount of \$4.2 million that were pledged as collateral for the advance agreements entered with a financial institution in January 2024. *Average Ratings are A+

CORPORATE SUSTAINABILITY

Mission

Mission: To deliver insurance products and services that offer the greatest value in the most challenging markets.

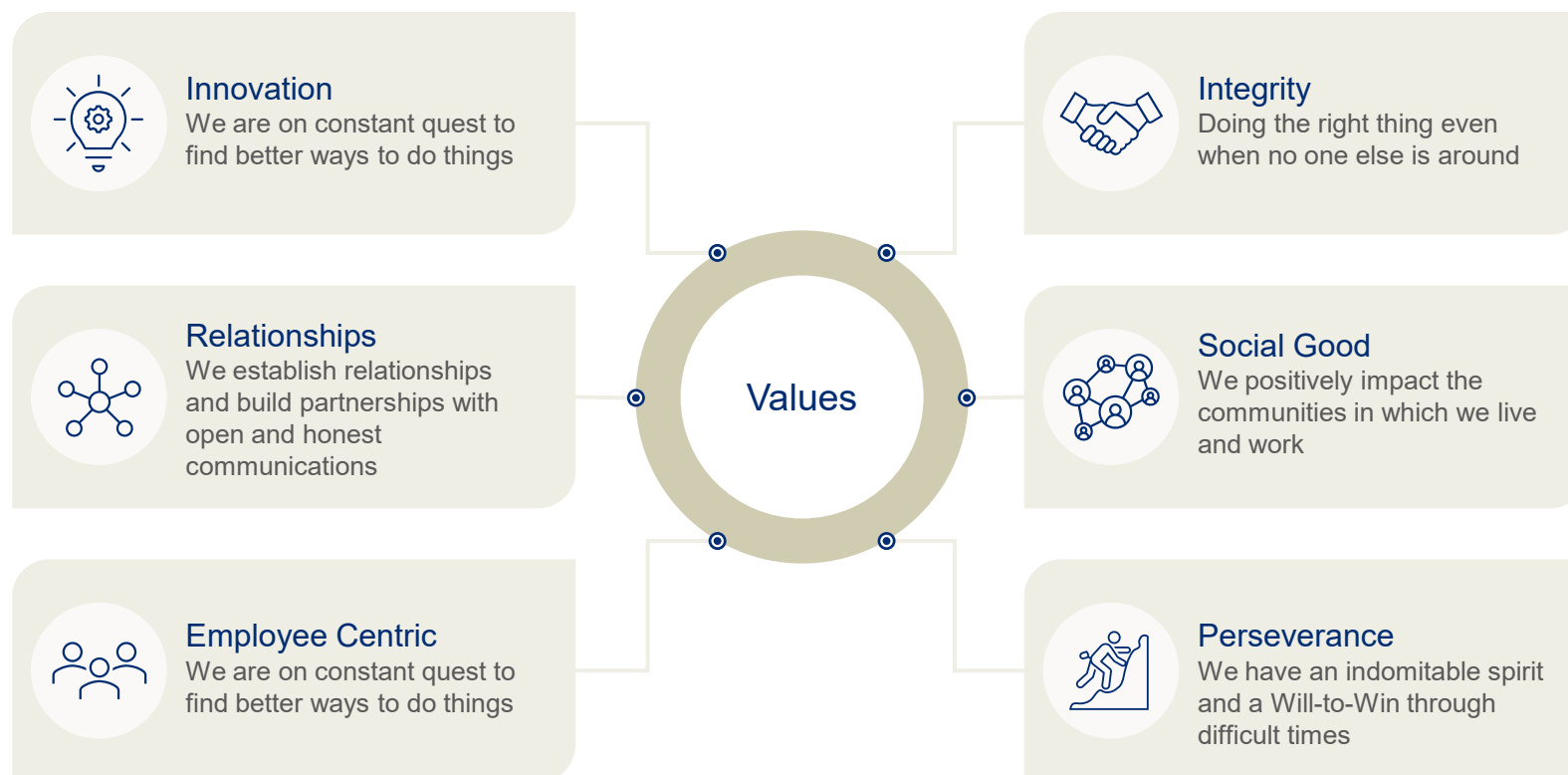
Claims Mission: Provide customers with prompt, proactive and compassionate claims service in their time of need, while paying what we owe under the policy.

Vision

Vision: To build a company our customer, employees, agents and investors love.

To create innovating, caring and helpful insurance solutions. And to provide an experience that always fulfills our promise.

MISSION, VISION & VALUES



ADDITIONAL INFORMATION

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